

Most banks will provide loans at 1 or 2 percent below the market rate, and inbank deposits are used as collateral. Obviously, not many people who need consolidation loans have spare cash that can be used as collateral, but often family members do. This requires a high degree of trust on the part of the family member, because the collateral is at risk if the loan is not repaid. I do not recommend this option unless the borrowers are in a financial coaching program in which someone is monitoring their finances at least monthly.

A collateralized loan is certainly better than a cosigned note, which is highly discouraged in Scripture. With pledged collateral, someone might lose the asset, but with a cosign, that person can potentially lose what he or she doesn't have.

Credit Unions

Many people have access to credit union loans at lower-than-market rates. As long as all the previously mentioned cautions are observed, a credit union loan is one of the better sources of consolidation.

Family Loans

Unless the family member (usually a parent) is able and willing to lose the money, I discourage this option, particularly when the parent is not a Christian and the child is. I have seen many parents discouraged and hurt because their children failed to meet their financial obligations. I believe Satan uses this as a stumbling block to a parent's salvation. Obviously if the parent is a Christian and is willing to absorb the loss (if necessary), there is nothing wrong with parental loans.

However, a word of caution to parents is in order here. If you continually bail your children out of their financial difficulties, you are doing them a great disservice. If you want to help, be sure you require your children to get the counsel they need first. Remember, more money is not the answer to most financial problems. More discipline is the answer.

Retirement Accounts